

Variables Impacting Booking Cancellations

Lead Time

The analysis indicates that Lead Time has a positive relationship with booking cancellations. Guests who book well in advance are more likely to cancel their reservations compared to those making bookings closer to their arrival date. This may be due to changes in travel plans, availability of alternative accommodations, or flexible booking policies.

Average Daily Rate (ADR)

ADR shows a relatively weak correlation with cancellations. While higher room prices may influence some customers to cancel, the relationship is not strong enough to conclude that ADR is a primary cancellation driver. Additional factors such as customer type and booking channel appear to have a greater impact.

Customer Type

Customer Type significantly influences cancellation behavior. Transient customers tend to exhibit higher cancellation rates compared to contract or group customers. This suggests that customers without long-term commitments are more likely to modify or cancel their reservations.

Market Segment

Market Segment is one of the most influential categorical variables affecting cancellations. Online Travel Agency (OTA) bookings generally show higher cancellation rates than direct or corporate bookings. This may be attributed to flexible cancellation policies commonly offered through online booking platforms.

Booking Changes

Booking Changes demonstrate a negative relationship with cancellations. Guests who modify their reservations are more likely to complete their stay rather than cancel. Reservation modifications may indicate a stronger commitment to travel plans.